Panam – November 2026 - Newsletter

Is Quality Investing Making a Comeback in India?

The big picture

For the better part of five years, owning India's best businesses has been a frustrating experience. Companies with high returns on capital, clean balance sheets and steady earnings kept doing their job, yet their share prices went nowhere while cheaper, more cyclical stocks raced ahead. This month, we ask whether that long winter for Quality investing is finally ending.

Our short answer: the conditions for a comeback are falling into place, but the comeback itself has not yet shown up in the broad market. Valuations have reset, the consumer and capex booms that powered lower-quality stocks are fading, and Quality looks reasonably priced for the first time in years. What is still missing is the foreign investor, who has spent 2026 selling Indian equities at a record pace.

This month at a glance

- Quality stocks lagged the market for five straight years (FY22 to FY26), the longest such stretch in two decades.
- The Nifty200 Quality 30 index now trades at about 26.5 times earnings, down from more than 38 times in 2024.
- The broader market is cheaper too, at roughly 16–17 times forward earnings, close to a six-year low.
- Household finances are stretched: net financial savings slipped to 6.2% of GDP in FY26 as borrowing jumped 36%.
- Foreign investors have pulled out nearly ₹3 lakh crore in 2026, a record, while domestic institutions bought almost ₹7 lakh crore.

How Quality fell out of favour

Quality investing is simple in principle: buy businesses that earn high returns on equity, keep clean accounts and are well governed, and accept paying a premium for them. For most of the last twenty years, that premium was money well spent, with Quality stocks beating the broader market by around 3.6% a year.

Then came Covid, and with it a market that rewarded almost everything except Quality. Four things happened at once.

A spending spree lifted every boat. When lockdowns ended, households spent freely, especially through the festive seasons of 2021 to 2023. In a boom of that size, the market leader and the third-placed imitator both grow, so investors saw little point in paying extra for the leader. Much of this spending came from drawing down savings rather than from rising incomes. By FY23, net household financial savings had fallen to around 5% of GDP, close to a fifty-year low.

Quality was priced for perfection. Leading franchises traded at 40–50 times earnings while much of the market sat at 15–20 times. A business can grow profits at a healthy mid-teens rate and still disappoint shareholders if its multiple shrinks from 45 times to 30 times, and that is exactly what happened. The Nifty200 Quality 30 index peaked at a P/E of 38 in September 2024 and then fell 23% within six months.

Government capex and commodities boomed together. The Centre roughly quadrupled its capital spending, from about ₹2.6 lakh crore in FY18 to a budgeted ₹11.2 lakh crore in FY26. Contractors, railway and defence suppliers and public-sector companies saw order books swell, many growing revenue by more than 30% a year. Globally, the race to build AI and electric-vehicle capacity sent metal and energy producers soaring.

Cheap cyclicals had room to run. After a decade in the doldrums, PSUs, commodity producers and capex plays were inexpensive, and they re-rated sharply. Over the five years to October 2026, the Nifty PSU Bank index more than tripled, while the Nifty IT index, a natural home for Quality investors, actually lost money.

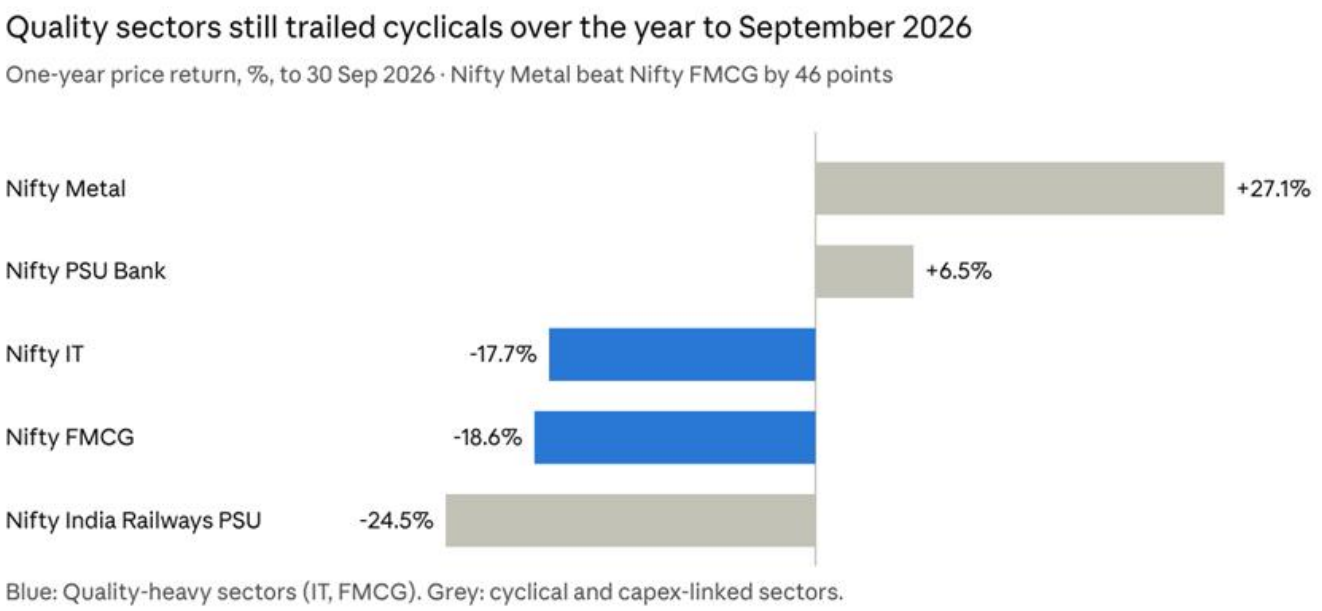
FY26: the peak of the distortion

The imbalance reached its extreme in FY26. The Value style returned close to 14%, while Quality, Growth and Low-Volatility styles all ended slightly in the red, and even the Nifty 50 slipped. The winners were PSU banks, capital-market stocks, metals, defence and commodities. The losers were FMCG, IT, private banks and consumer names, the mirror image of a Quality-led market. For the first time in two decades, Quality trailed the market on a rolling five-year basis for five years running.

That gap has not closed yet, although one part of the old leadership, the capex trade, is clearly cracking.

One-year price returns of selected Nifty sector indices to 30 September 2026.

Metals are still riding the global commodity cycle. But the Railways PSU index, the purest bet on government spending, has lost a quarter of its value in a year. FMCG, meanwhile, closed September at its lowest level of the year, a reminder that a slowing consumer hurts good companies too.



Why the tide may be turning

The forces that held Quality back are now easing, and in some cases reversing.

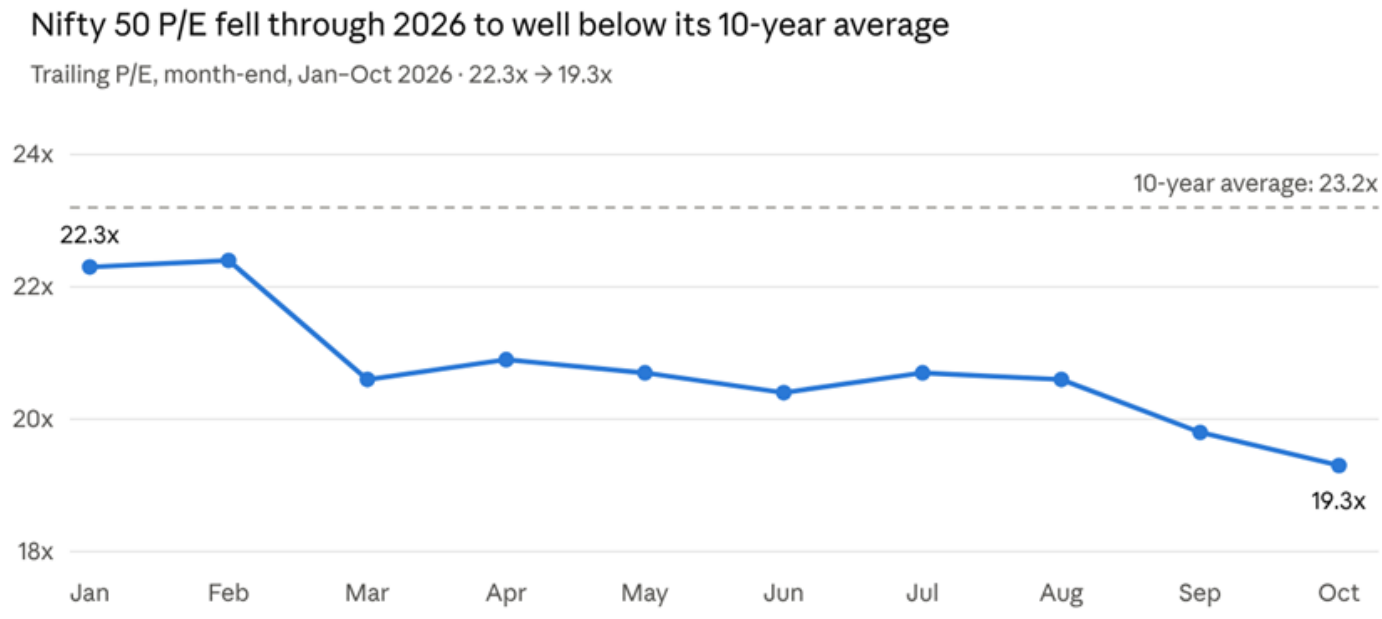
The consumer is stretched. Indian households added more to their savings in FY26 than a year earlier, but they borrowed far more. Fresh borrowing rose 36% to about ₹21 lakh crore, pushing net financial savings down to 6.2% of GDP from 7.0%. Household debt now stands at nearly 46% of GDP. Spending financed by borrowing has natural limits, and a slower economy tends to favour companies that can keep winning market share.

The capex wave is cresting. Central government capex for FY26 came in below budget, at about ₹10.9 lakh crore. The FY27 budget of ₹12.2 lakh crore is another record, but it implies growth of only around 9%, well below the 20%-plus pace of the boom years. For companies priced on the assumption of 30% revenue growth, that slowdown is enough to deflate valuations, as the railway stocks show.

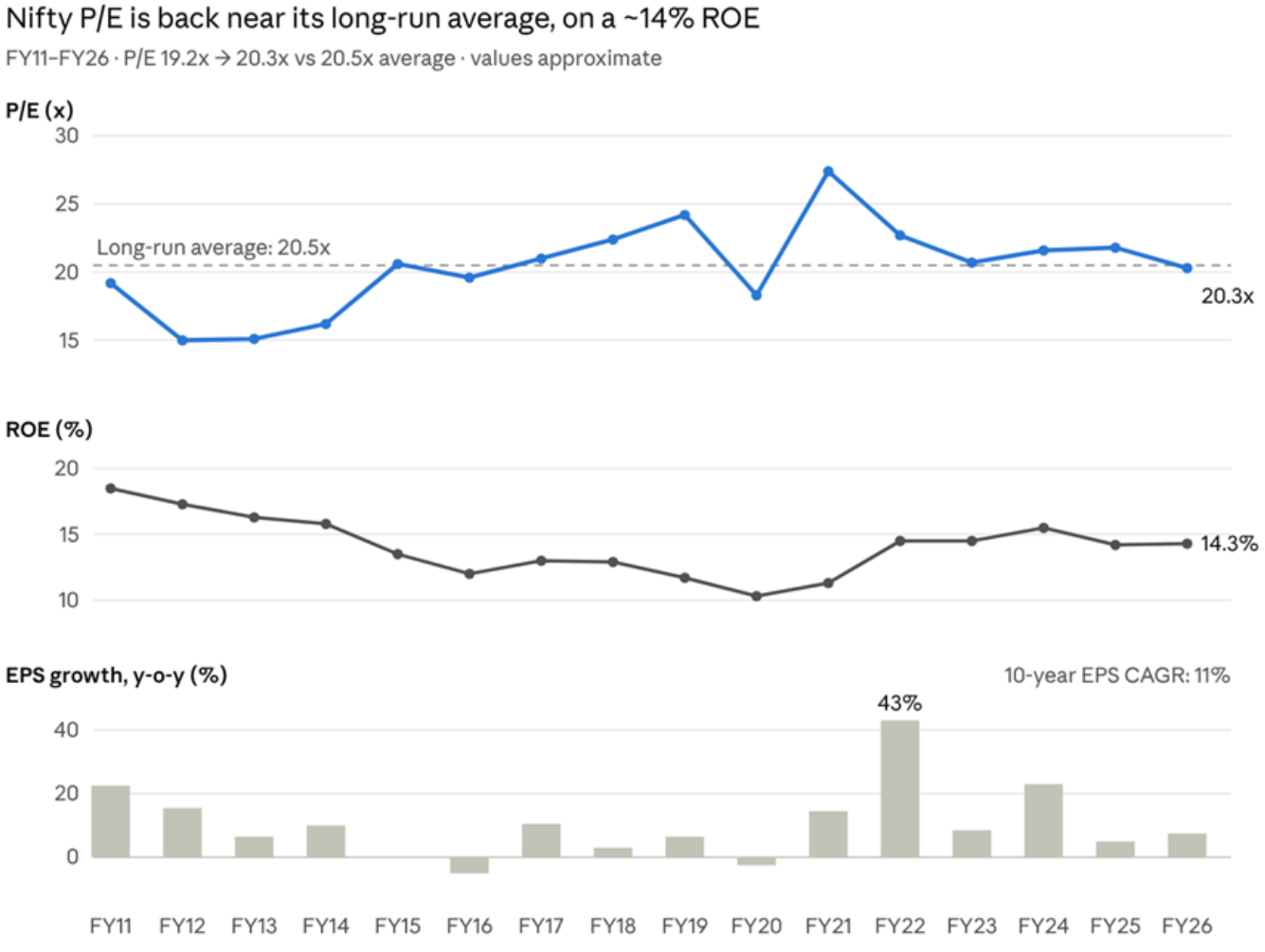
Valuations have come back to earth. The Nifty 50 has become steadily cheaper through 2026.

Nifty 50 trailing P/E, month-end values, January to October 2026.

On forward earnings, the reset is even sharper. The Nifty's 12-month forward P/E has dropped from nearly 25 times in September 2024 to around 16–17 times today, close to a six-year low, because earnings estimates kept rising while prices fell. The froth now sits further down the market: mid-caps trade at about 28 times earnings and small caps near 38 times, against roughly 19 times for the Nifty 50.



A longer view shows how unusual this moment is. Over the past fifteen years, the Nifty's P/E has swung between about 15 and 27 around an average of roughly 20.5, while return on equity fell to a low near 10% in FY20 before recovering to about 14–15%.



Nifty earnings growth, return on equity and P/E, FY11 to FY26. Values are approximate.

For the first time since the 2013 taper tantrum, the market is priced at its long-run average while earning a healthy return on equity of close to 15%. Earnings have been bumpy, from a 43% rebound in FY22 to single-digit growth in the last two years, yet Nifty profits have still compounded at about 11% a year over the past decade. In plain terms, investors are now paying an average price for above-average profitability.

Quality itself is no longer expensive. The Nifty200 Quality 30 trades at about 26.5 times earnings, against more than 38 times at its 2024 peak and a five-year average near 30. For that price, investors get companies earning an average return on equity above 30%, roughly double the market.

History is on Quality's side. Quality has tended to beat Value when earnings growth is scarce and domestic money is not flooding into the market, with FY21 the clearest example. When liquidity is abundant and the economy is booming, speculative and cyclical stocks usually lead.

The missing piece: foreign investors

Foreign investors and Quality stocks go hand in hand. Global funds rarely buy businesses with weak governance or a heavy dependence on government contracts; they buy a short list of transparent, high-return franchises. When foreign money leaves India, those are the stocks that suffer most. When it returns, they are usually the first to benefit.

So far, 2026 has been a year of heavy selling.

By the numbers	Latest
Net foreign selling of Indian equities, Jan–Oct 2026	₹2.95 lakh crore, a record (₹1.66 lakh crore in all of 2025)
Net domestic institutional buying, Jan–Oct 2026	₹6.93 lakh crore
Monthly SIP inflows, September 2026	₹32,490 crore
India's weight in the MSCI Emerging Markets index	About 11.3%, down from nearly 20% in late 2024
Foreign share of Indian market capitalisation	About 15.8%, a 15-year low

The reasons are largely global: US bond yields above 5%, a strong dollar, high crude prices and an AI-driven rally pulling money towards Taiwan, South Korea and the US. Those markets, together with China, now make up roughly 70% of the emerging markets index, and India has slipped to fourth place.

There are tentative signs of a pause. Foreign investors turned net buyers in the last week of October, and IT, a sector packed with Quality names, drew much of the early-October buying. The Nifty IT

index rose nearly 14% in the first three weeks of the month. One good week is not a trend, but it is exactly the kind of move a Quality revival needs.

The longer-term case for foreign money remains strong. India is home to nearly 18% of the world's population and about 10% of its high-quality listed companies, yet it makes up only around 2% of the global equity index. It also delivers the highest return on equity among major emerging markets, at about 15%.

History offers another reason for optimism. On five occasions in the past 25 years, the rupee weakened by more than 5% in a year while India lagged other emerging markets. Each time, India outperformed the following year, by an average of about 19 percentage points. 2025 fit that pattern exactly. With two months of 2026 left, this is the signal to watch: a sixth success would most likely arrive alongside returning foreign money.

Will the revival last?

The honest answer is: probably, but it is not yet proven. Some concentrated Quality portfolios have posted strong gains this year, but the broad Quality index was still down about 8% for 2026 in mid-September, and Quality ETFs show negative one-year returns. Hand-picked portfolios and rules-based indices can diverge widely, so it pays to look at both.

What needs to happen	Where things stand	Status
Quality valuations reset	Quality 30 at about 26.5x, versus 38x at the peak	In place
Broader economy stays sluggish	Household savings down, borrowing up sharply	In place
Capex-driven stocks lose steam	Capex growth near 9%; railway PSUs down 25% in a year	In place
Value stocks become expensive	Metals still up 27%; small caps near 38x	Partly
Foreign investors return	Record outflows; first net buying in late October	Not yet

Three developments could derail the revival:

A strong, broad-based recovery - If jobs, incomes and spending all pick up together, weaker businesses benefit again and Quality's edge fades. Markets still expect about 15% earnings growth in FY27; if that growth is broad rather than concentrated, cyclicals could stay in front. *Risk: moderate.*

A flood of global liquidity - Sharp, coordinated rate cuts could reignite speculative stocks before fundamentals catch up. For now the opposite is happening, with US yields high, which lowers this risk but also delays the return of foreign investors. *Risk: low, but double-edged.*

Domestic money chasing momentum - Record SIP flows have cushioned the market. If that money keeps flowing into small caps rather than compounders, the premium on lower-quality stocks could last longer. With small caps at about twice the Nifty's valuation, this is the risk to watch most closely. *Risk: elevated.*

What this means for you

Quality did not go out of fashion because the businesses stumbled. It fell behind because a borrowing-fuelled consumer boom and a government spending boom flattered cheaper, lower-quality companies for five years. Both supports are now weakening, and Quality is priced below its own history.

For long-term investors, a few takeaways:

Look past the share price. Quality companies kept growing their earnings through 2021–26; what hurt was shrinking valuations. At around 26 times earnings, the risk of further de-rating is the lowest it has been since Covid.

Expect a gradual shift, not a sudden rebound. Leadership changes in Indian markets usually take several quarters to show up in returns.

Watch three signals: sustained foreign buying, a stable or rising MSCI weight for India, and a narrowing gap between Quality and cyclical sectors.

Be careful where the froth is. Small- and mid-cap valuations remain well above large caps, and that is where a momentum-driven trade is most likely to unwind.

Check performance independently. For portfolio management services, peer-relative performance is published on the APMI website.

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